

life. And, in my most recent work, I state that there are nearly three times as many households with investments of \$1 million or more living in homes valued at \$300,000 or less than there are living in homes valued at \$1 million or more.

Even most multimillionaires in America don't live in expensive homes. I recently tabulated the 2007 IRS estate data (the latest data available) for those decedents with an estate valued at \$3.5 million or more. I estimated that the median market value of a decedent's home was \$469,021, or less than 10 percent of their median net worth. On average these decedents had more than two-and-one-half times more of their wealth invested in investment real estate than in their own personal homes.

Profiling the millionaire next door population was a cumulative process which continues today. Originally I used a different description to define this segment. I first coined the "wealthy blue collar" segment in a paper entitled "Market Segmentation: Utilizing Investment Determinants," which I presented on October 10, 1979 at a conference of the Securities Industry Association in New York City. The paper was later published by the American Marketing Association. Earlier in May 1979, the New York Stock Exchange had asked me to develop a set of marketing implications and recommendations based upon its then recently completed national survey of 2,741 households on investment patterns and attitudes and behaviors about money. This provided a base for the above-mentioned paper. A key point I made in this paper was:

opportunities exist in segments that the [investment] industry has ignored for years.... [Members of] the really big segment, the wealthy blue collar, do not need to purchase expensive artifacts that are part of the white collar workers' knapsack....

At the time of my presentation I realized that the blue-collar/millionaire next door segment did exist, and it was likely to be a sizable one. Not long after I first identified this marker, I discovered how very large it indeed was.

In June 1980 I was asked by a large money center bank to conduct a national study of the millionaire population in America. During the planning stage, an event took place which had a major influence upon